

DATE: July 31, 2026

TO: The Board of Directors

FROM: Ryan Billingsley, Director
Division of Risk Management Supervision

CONCUR: Matthew P. Reed
General Counsel

SUBJECT: Notice of Proposed Rulemaking on Extensions of Credit to Insiders of FDIC-supervised Institutions

I. SUMMARY

Federal Deposit Insurance Corporation (FDIC) staff presents to the Board of Directors (Board) for approval the attached Notice of Proposed Rulemaking (proposal or proposed rule) and requests authorization of its publication in the *Federal Register* with a 60-day comment period. The Board of Governors of the Federal Reserve System (FRB) recently adopted a proposal to amend Regulation O (FRB NPR),¹ its regulation implementing sections 22(g) and 22(h) of the Federal Reserve Act (FRA),² which govern extensions of credit by banks to their executive officers, directors, principal shareholders, and their related interests (insiders). The FRB's proposal would, among other things, adjust certain dollar-based regulatory thresholds to account for economic growth and inflation. Such thresholds have not been revised in several decades and have become effectively more restrictive over time. Because the FDIC has separately adopted these dollar-based thresholds in its own regulation,³ revisions are necessary to avoid disparate treatment between FDIC-supervised institutions and other insured depository

¹ 12 C.F.R. part 215.

² See 12 U.S.C. §§ 375a, 375b.

³ See 12 C.F.R. § 337.3. With the exception of three subsections reserved to the FDIC, § 337.3(a) provides that FDIC-supervised institutions are subject to Regulation O to the same extent and in the same manner as though they were member banks.

institutions (IDIs). Accordingly, staff proposes to amend the FDIC’s regulations in parallel with the FRB’s rulemaking effort by (1) updating the impacted thresholds to reflect economic growth and inflation from the date of their initial adoption; (2) making future adjustments to such thresholds through use of an indexing methodology based on the cumulative change in nominal gross domestic product (nominal GDP) since the date of the prior adjustment; and (3) streamlining certain aspects of the thresholds to reduce compliance burden. The proposed revisions are intended to preserve consistency across the Federal banking agencies’ regulations with respect to restrictions on extensions of credit to bank insiders.

II. BOARD ACTION REQUIRED

Board approval is required for the issuance of rules and regulations, unless otherwise delegated.⁴

III. REQUESTED ACTIONS

Staff presents to the Board for:

A. Approval of the proposed rule and authorization of its publication in the *Federal Register* for a comment period ending 60 days after publication in the *Federal Register*.

B. Authorization for the Executive Secretary, or designee, and the General Counsel, or designee, to make technical, non-substantive, or conforming changes to the text of the *Federal Register* document to ensure that the FDIC can publish this proposed rule in the *Federal Register*.

⁴ 12 U.S.C. § 1819(a)(Tenth); *see also* Board Resolution 086825 at B.1. (Oct. 20, 2020) (“The Board reserves all authorities not expressly delegated.”).

IV. BACKGROUND

Statutory Framework

Sections 22(g) and 22(h) of the FRA impose restrictions on extensions of credit to insiders of a bank that is a member of the Federal Reserve System (member bank).⁵ Section 18(j)(2) of the Federal Deposit Insurance Act provides that sections 22(g) and (h) shall apply to every insured bank that is not a member of the Federal Reserve System (nonmember insured bank) in the same manner and to the same extent as if the nonmember insured bank were a member bank.⁶

In general, under section 22(g)(1) of the FRA, no member bank may extend credit in any manner to any of its own executive officers, and no executive officer of any member bank may become indebted to that member bank, except by means of an extension of credit which the bank is authorized to make under that section.⁷ Notwithstanding this general prohibition, the statute authorizes member banks to make certain extensions of credit to executive officers, including certain mortgage loans and educational loans.⁸ In addition, section 22(g)(4) provides for a general limitation on the amount of credit under which a member bank may make extensions of credit not otherwise specifically authorized under the statute to any executive officer of the bank “in an amount prescribed in a regulation of the member bank’s appropriate Federal banking agency.”⁹

Furthermore, in general, under section 22(h)(1) of the FRA, no member bank may extend credit to any of the bank’s insiders except to the extent permitted by subsequent provisions of the

⁵ See *supra* note 2.

⁶ 12 U.S.C. § 1828(j)(2). Under section 11(b) of the Home Owners’ Loan Act, 12 U.S.C. § 1468(b), sections 22(g) and (h) of the FRA apply to savings associations in the same manner and to the same extent as to member banks.

⁷ 12 U.S.C. § 375a(1).

⁸ 12 U.S.C. § 375a(2), (3).

⁹ 12 U.S.C. § 375a(4).

statute.¹⁰ One such exception allows a bank to extend credit to an insider above a certain aggregate dollar threshold upon the approval of the bank's board of directors of the extension of credit.¹¹ In particular, section 22(h)(3) provides that a member bank may extend credit to an insider in an amount that, when aggregated with the amount of all other outstanding extensions of credit by the bank to the person and that person's related interests, would "exceed an amount prescribed by regulation of the appropriate Federal banking agency" only if: (1) the extension of credit has been approved in advance by a majority vote of that bank's entire board of directors; and (2) the interested party has abstained from participating, directly or indirectly, in the deliberations or voting on the extension of credit.¹²

FDIC Regulatory Framework

The FDIC has implemented sections 22(g) and (h) in section 337.3 of the FDIC Rules and Regulations¹³ in a manner generally consistent with the Federal Reserve Board's Regulation O. For FDIC-supervised institutions, an extension of credit to an insider¹⁴ requires prior approval by a majority of disinterested members of the board of directors if the amount, when aggregated with the institution's other extensions of credit to that insider, exceeds either (1) the greater of \$25,000 or 5 percent of the FDIC-supervised institution's unimpaired capital and unimpaired surplus, or (2) \$500,000.¹⁵ Thus, the rule scales the relevant threshold to a bank's levels of

¹⁰ 12 U.S.C. § 375b(1).

¹¹ 12 U.S.C. § 375b(3).

¹² *Id.*

¹³ 12 C.F.R. § 337.3.

¹⁴ "Insider" is defined in the proposal to include executive officers, directors, principal shareholders, and any of their related interests. "Executive officer" currently is defined to include employees with certain enumerated titles as well as persons who participate or have the authority to participate (other than in the capacity of a director) in the major policymaking functions of a company or IDI, regardless of title. The FRB's proposal would remove "every vice president", "the cashier", and "the secretary" to modernize a list that has not changed since 1935 although the nature of those positions has changed. The chief executive officer, chief financial officer, chief lending officer, and chief investment officer would be added to the list, and it is likely that institutions are already treating people with these titles as executive officers.

¹⁵ 12 C.F.R. § 337.3(b).

unimpaired capital and unimpaired surplus, while also setting a floor of \$25,000 and a ceiling of \$500,000 for institutions with relatively low and relatively high levels of unimpaired capital and unimpaired surplus, respectively.

Additional restrictions apply to insiders who are executive officers of an FDIC-supervised institution. Specifically, subject to limited exceptions, an FDIC-supervised institution is authorized to extend credit to an executive officer, for any purpose not otherwise authorized by Regulation O,¹⁶ only if the aggregate amount of such extensions of credit does not exceed at any one time (1) the higher of 2.5 percent of the FDIC-supervised institution's unimpaired capital and unimpaired surplus or \$25,000, or (2) \$100,000.¹⁷ This threshold is also structured as a sliding scale with a floor and a ceiling.

V. DISCUSSION

The Proposed Rule

The proposal would update the \$100,000 and \$500,000 thresholds outlined above using seasonally adjusted U.S. nominal GDP, as calculated quarterly by the U.S. Bureau of Economic Analysis, to align with the FRB NPR. The proposal would also simplify the manner in which both thresholds are calculated, by removing the dollar-based “floor” for each provision, leaving only a sliding scale (of 2.5% or 5%, as applicable, of unimpaired capital and unimpaired surplus) and a “ceiling” (of \$400,000 or \$2,000,000), which will simplify the FDIC's regulation to make compliance more straightforward for FDIC-supervised institutions. Finally, the proposal would provide for future automatic updates to the thresholds every five years, also utilizing nominal

¹⁶ For extensions of credit to an executive officer *authorized* by Regulation O, the extension of credit, when aggregated with the institution's other extensions of credit to that insider, must not exceed (1) the greater of \$25,000 or 5 percent of the FDIC-supervised institution's unimpaired capital and unimpaired surplus, or (2) \$500,000, *unless* the extension of credit receives prior approval by a majority of the board of directors with the interested director(s) not participating.

¹⁷ 12 C.F.R. § 337.3(c)(2).

GDP. In each of these respects, the FDIC's proposal would align with the FRB NPR, ensuring that the thresholds applicable to FDIC-supervised institutions are consistent with the thresholds for institutions supervised by the other federal banking agencies.

In summary, under the proposed rule, extensions of credit to insiders would require prior approval by an institution's board of directors if the aggregate extension of credit exceeds the lower of 5 percent of the FDIC-supervised institution's unimpaired capital and unimpaired surplus or \$2,000,000. Extensions of credit to executive officers for purposes not permitted under the statute would be authorized only if the aggregate extension of credit to an executive officer does not exceed the lower of 2.5 percent of the FDIC-supervised institution's unimpaired capital and unimpaired surplus or \$400,000. Such thresholds would be subject to an indexing methodology and adjusted automatically every five years to reflect the cumulative change in nominal GDP (a measure of economic growth and inflation) during that period.

VI. CONCLUSION

Staff requests that the Board approve the actions set forth above.

STAFF CONTACTS

Division of Risk Management Supervision:

Peter Martino, Senior Examination Specialist, Supervision Policy Section
Ryan Senegal, Chief, Examination Support Section

Legal Division:

Gregory Feder, Counsel
Shane Bogusz, Senior Attorney